T-12 OPERATING STATEMENT

Northgate Medical Plaza | Grand Rapids, MI

Property	Northgate Medical Plaza
Period Ending	April 17, 2025
Basis	Accrual - Trailing 12 Months
Prepared By	Lumen Residential Services
Size	351,990 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	1,254,73	1,302,83	1,303,78	1,181,91	1,256,26	1,230,16	1,214,64	1,327,13	1,319,35	1,316,83	1,238,96	1,284,52	15,231,147
4010 Loss to Lease	745,710	829,454	796,919	803,429	852,960	840,226	834,372	810,737	836,194	852,906	822,802	826,081	9,851,789
4020 Vacancy Loss	1,046,68	1,054,78	1,051,41	970,319	948,205	971,567	1,025,79	974,052	1,036,36	1,016,11	942,049	999,577	12,036,933
4030 Concessions	971,601	1,055,64	951,169	951,414	1,057,08	1,022,30	1,050,63	979,175	1,055,91	963,616	1,071,20	1,079,19	12,208,949
4040 Bad Debt	924,379	916,692	935,128	962,959	926,375	1,005,11	941,747	925,178	1,016,95	995,502	934,871	922,707	11,407,611
4050 Late Fees	223,045	225,205	214,186	243,452	228,250	217,647	227,605	237,867	234,133	244,907	214,264	229,814	2,740,376
4060 Utility Reimbursements	801,765	833,794	820,155	866,201	832,391	814,827	817,617	806,919	759,759	828,257	821,433	818,507	9,821,627
4070 Parking Income	714,382	735,924	791,973	705,570	745,746	701,415	729,069	737,124	708,013	773,643	729,056	746,889	8,818,803
4080 Application Fees	558,932	611,875	567,279	550,992	593,421	593,475	603,477	601,899	594,814	543,449	562,711	568,656	6,950,982
4090 Pet Rent	802,517	720,907	803,926	779,924	722,726	760,835	780,611	728,730	761,561	760,906	788,528	826,509	9,237,681
4100 Laundry Income	729,017	752,544	818,642	805,032	751,557	774,732	743,339	748,680	788,506	787,879	767,835	804,258	9,272,019
4110 Cable/Internet Revenue	101,809	94,285	106,624	95,168	98,503	100,399	103,684	103,573	101,122	101,624	104,041	95,838	1,206,668
4120 CAM Reimbursements	658,399	663,001	669,139	672,695	697,112	697,058	687,985	690,424	649,959	663,013	634,650	685,853	8,069,288
4130 Tax Reimbursements	997,668	993,866	1,016,07	944,659	994,657	946,241	1,062,32	1,047,46	1,024,51	965,536	1,007,76	956,467	11,957,225
4140 Insurance Reimbursemen	932,751	909,543	895,531	932,119	995,783	1,008,52	878,051	911,804	942,724	946,232	900,992	930,103	11,184,157
4150 Percentage Rent	476,090	481,104	448,626	470,532	468,395	441,397	485,845	486,564	453,689	442,442	468,700	454,757	5,578,140
4160 Misc. Income	667,843	692,543	686,381	710,490	723,747	652,954	639,307	693,483	714,452	702,304	726,814	696,963	8,307,281
4170 Payroll - Management	70,322	77,382	70,384	71,256	73,449	76,291	73,171	75,908	79,665	72,201	75,432	73,900	889,362
4180 Payroll - Leasing	140,693	124,631	136,602	125,427	140,862	140,852	135,906	136,357	140,544	131,047	124,660	139,088	1,616,670
4190 Payroll - Maintenance	80,426	90,855	87,444	82,315	90,207	88,837	83,098	89,328	85,362	89,621	80,685	90,969	1,039,146
4200 Payroll Taxes & Benefits	56,576	55,922	55,121	57,150	57,182	53,923	51,850	53,146	55,269	55,255	54,708	55,223	661,326
4210 Repairs - Plumbing	20,987	21,156	19,509	20,631	20,262	21,056	19,505	18,740	18,948	19,522	18,750	19,031	238,096
4220 Repairs - HVAC	14,019	12,539	13,537	13,701	12,946	13,489	13,674	13,622	14,224	14,335	13,940	13,739	163,763
4230 Repairs - Electrical	134,670	140,541	134,537	141,681	136,981	142,654	148,550	132,333	132,116	148,524	147,011	143,831	1,683,427

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4470 Property Insurance	56,823	55,771	52,800	56,924	57,411	58,531	55,156	56,221	56,113	51,049	54,800	51,417	663,018
4480 Real Estate Taxes	127,336	123,910	116,199	119,149	123,471	121,094	120,427	130,212	116,028	117,279	121,921	129,432	1,466,457
4490 Asset Management Fee	81,824	81,754	85,994	80,380	88,560	85,716	79,379	90,495	84,748	84,836	87,016	90,532	1,021,234
4500 Replacement Reserves	113,336	119,829	119,540	124,897	117,207	116,807	125,916	115,676	120,067	125,073	120,726	113,065	1,432,139
4510 Roof Repairs	38,486	42,428	42,831	41,076	39,857	40,703	43,147	40,126	40,592	43,535	41,060	43,770	497,610
4520 Parking Lot Repairs	125,133	133,266	135,447	132,198	127,795	128,231	124,828	127,259	131,840	130,417	120,427	132,063	1,548,902
4530 Signage	74,481	76,093	76,557	73,175	71,095	74,470	74,953	77,483	69,692	71,278	76,907	68,245	884,429
4540 Tenant Improvements	72,881	69,809	67,219	64,536	70,838	71,467	70,564	73,949	67,942	70,478	67,757	65,737	833,177
4550 Leasing Commissions	103,544	106,545	105,170	98,668	100,867	99,186	106,091	103,002	103,973	98,662	94,142	96,011	1,215,861
4000 Gross Potential Rent	1,278,04	1,193,70	1,235,65	1,291,79	1,222,38	1,284,14	1,191,54	1,192,33	1,277,82	1,305,45	1,239,57	1,262,61	14,975,086
4010 Loss to Lease	407,322	369,634	402,807	414,705	375,428	381,033	412,892	406,466	394,968	399,239	385,835	366,188	4,716,519
4020 Vacancy Loss	978,704	997,639	913,499	915,992	954,224	1,014,64	1,048,70	1,045,14	983,777	929,054	1,007,69	987,511	11,776,585
4030 Concessions	134,692	149,872	135,907	133,254	139,972	139,739	145,245	142,075	134,160	142,886	135,097	149,268	1,682,168
4040 Bad Debt	251,593	247,800	265,359	270,604	260,852	252,918	241,348	275,669	255,064	245,793	271,667	248,709	3,087,375
4050 Late Fees	474,245	508,164	486,935	512,148	473,258	504,508	512,523	510,660	469,738	527,945	492,035	474,985	5,947,146
4060 Utility Reimbursements	375,020	362,281	369,921	395,252	369,827	395,948	363,969	372,431	365,826	398,966	356,339	355,264	4,481,042
4070 Parking Income	453,236	469,323	430,475	473,755	478,901	475,672	450,688	484,745	450,811	436,448	474,073	435,286	5,513,410
4080 Application Fees	558,972	554,043	579,138	597,388	621,516	615,123	597,240	611,219	620,687	624,907	615,885	571,330	7,167,447
4090 Pet Rent	869,894	865,821	867,007	897,963	863,762	876,441	884,919	889,344	929,503	850,604	833,744	906,389	10,535,389
4100 Laundry Income	87,520	89,013	86,138	85,801	88,262	89,838	91,968	85,427	95,051	84,079	84,215	93,091	1,060,402
4110 Cable/Internet Revenue	321,205	316,000	303,762	326,202	308,533	315,526	327,034	311,126	313,231	315,401	334,294	334,992	3,827,307
4120 CAM Reimbursements	22,808	24,082	24,915	23,001	23,178	23,551	23,625	23,206	24,615	22,680	22,060	24,468	282,189
4130 Tax Reimbursements	907,453	967,142	912,914	955,229	947,844	859,792	933,784	949,400	937,667	881,407	855,792	941,007	11,049,430
4140 Insurance Reimbursemen	216,639	209,057	211,912	208,955	214,633	209,689	220,350	202,473	223,297	208,226	206,899	222,340	2,554,469
4150 Percentage Rent	507,358	531,745	489,522	480,139	485,100	515,330	528,728	494,494	538,188	545,942	477,766	477,213	6,071,525
4160 Misc. Income	988,700	979,927	1,081,54	1,063,87	1,016,78	1,079,70	1,044,22	989,881	1,023,86	1,078,99	958,192	1,053,19	12,358,895
4170 Payroll - Management	105,838	105,837	108,906	109,673	105,797	107,894	114,669	117,311	108,301	116,801	118,285	105,487	1,324,799
4180 Payroll - Leasing	114,127	117,961	116,365	121,089	118,837	113,058	122,301	121,047	127,287	115,850	127,785	123,790	1,439,497
4190 Payroll - Maintenance	92,534	96,637	98,949	94,726	88,148	99,396	96,555	98,128	96,866	98,843	88,549	89,873	1,139,205
4200 Payroll Taxes & Benefits	130,822	145,244	139,687	141,982	147,358	132,525	141,571	130,880	140,085	146,757	139,260	131,348	1,667,518
4210 Repairs - Plumbing	48,354	50,242	52,448	48,756	53,592	49,554	53,581	50,437	52,335	49,504	52,032	49,617	610,451
4220 Repairs - HVAC	86,033	84,442	89,926	83,966	88,862	87,988	85,529	83,213	85,552	85,796	85,731	83,719	1,030,757
4230 Repairs - Electrical	93,738	99,255	100,558	92,323	96,065	99,895	100,307	104,787	99,420	97,882	102,917	97,348	1,184,495
4240 Repairs - Appliances	84,516	80,366	82,448	86,476	89,313	84,967	89,488	89,968	86,685	84,720	85,662	89,175	1,033,782
4250 Painting & Decorating	46,418	46,741	48,771	47,117	50,568	51,870	51,493	48,318	51,681	53,205	46,832	50,773	593,785
4260 Flooring	90,315	89,648	97,433	88,878	87,036	92,037	91,151	92,528	96,182	99,119	97,658	95,760	1,117,744
4270 Make-Ready / Turnover	58,213	55,610	58,479	54,223	58,873	55,516	59,353	53,927	54,656	55,427	59,818	56,726	680,822
4280 Landscaping Contract	62,263	57,872	60,052	60,000	65,018	62,046	57,546	61,417	62,113	59,780	59,782	61,013	728,902
4290 Snow Removal	16,279	17,563	17,740	17,909	17,810	17,834	16,758	15,981	16,445	15,875	17,856	16,947	204,998
4300 Janitorial	151,886	141,552	136,987	153,005	143,588	150,996	148,818	153,688	154,333	135,802	153,321	146,654	1,770,630
4310 Pest Control	104,383	105,479	108,067	113,379	105,804	107,002	102,967	109,361	100,503	100,207	108,856	105,959	1,271,966
4320 Trash Removal	113,520	119,010	109,186	113,662	116,257	119,126	115,331	112,121	115,448	118,611	113,610	121,054	1,386,937
4330 Elevator Contract	69,483	64,248	73,294	69,444	66,817	66,699	68,608	64,860	70,499	69,503	73,515	70,836	827,807
4340 Fire & Life Safety	101,621	91,380	98,173	102,448	93,597	94,686	91,610	103,246	95,911	94,457	96,332	98,135	1,161,595
4350 Security	85,725	82,950	82,234	88,902	86,009	85,838	89,602	84,851	89,209	90,324	84,972	85,548	1,036,164
4360 Electricity - Common	18,167	17,211	19,518	19,636	17,941	17,440	18,714	18,176	18,891	19,448	17,282	17,247	219,672
4370 Gas - Common	52,764	53,072	51,627	47,366	49,111	51,617	49,811	54,279	48,968	53,944	53,950	53,397	619,906

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Income and Expense Review

Operating expenses totaled $46,000 or approximately 42.76 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Management fees are calculated at 6.2% of collected revenue and are included in operating expenses. Operating expenses totaled $424,000 or approximately 35.36 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.07% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 15 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 95.5% of billed charges, with bad debt of 4.2% of gross potential income.

Financial Analysis

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. Debt service coverage ratio was 8.14x on a trailing basis against a covenant minimum of 1.20x. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Management fees are calculated at 8.0% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.28% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Operating expenses totaled $203,000 or approximately 37.64 per square foot, with real estate taxes representing the largest line item. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Leasing and Marketing

Collections for the period were 94.4% of billed charges, with bad debt of 6.2% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 37 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 24th business day. Patient parking and ADA-compliant access are provided at a ratio of 35 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 14 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. Collections for the period were 94.4% of billed charges, with bad debt of 7.7% of gross potential income. Patient parking and ADA-compliant access are provided at a ratio of 4 spaces per 1,000 square feet.

Financial Analysis

Patient parking and ADA-compliant access are provided at a ratio of 44 spaces per 1,000 square feet. Debt service coverage ratio was 6.85x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The going-in capitalization rate of 5.39% reflects the in-place income and the stabilized occupancy assumption.

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Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4360 Electricity - Common	90,108	97,249	95,119	86,668	86,961	97,219	91,142	95,817	87,009	88,164	92,299	96,069	1,103,823
4370 Gas - Common	154,349	139,125	137,881	144,157	153,930	140,916	154,281	152,162	134,307	143,747	145,317	152,567	1,752,737
4380 Water & Sewer	50,662	46,429	45,931	46,198	47,617	49,110	49,449	46,953	49,637	46,192	49,878	46,995	575,053
4390 Telephone/Internet	79,237	71,649	79,715	75,562	75,533	71,918	76,532	75,226	76,639	79,818	75,906	80,322	918,057
4400 Advertising	21,975	23,566	24,342	23,464	24,137	21,534	24,686	24,653	23,483	24,186	24,371	22,438	282,835
4410 Resident Events	116,790	117,317	116,409	105,466	110,267	117,044	108,711	117,281	120,341	107,149	108,757	118,847	1,364,379
4420 Office Supplies	53,593	56,587	54,958	55,225	56,057	50,766	49,707	51,550	49,757	57,106	54,956	52,544	642,805
4430 Legal & Professional	103,272	101,223	91,447	91,388	92,579	93,470	98,814	94,175	93,759	99,941	92,522	102,180	1,154,770
4440 Accounting & Audit	57,766	62,100	59,532	58,404	60,136	62,034	58,551	59,624	63,647	58,161	64,119	60,731	724,804
4450 Licenses & Permits	56,637	55,133	57,606	53,152	55,145	53,287	52,983	53,473	55,234	54,767	56,174	54,807	658,397
4460 Management Fee	80,136	80,815	82,506	85,159	78,825	76,718	81,061	83,967	83,890	81,552	81,254	84,836	980,718
4470 Property Insurance	39,209	37,244	37,247	37,814	36,288	38,974	38,537	35,104	36,565	38,013	38,385	40,170	453,549
4480 Real Estate Taxes	67,435	76,495	70,840	67,647	71,470	68,667	67,478	68,444	69,765	72,831	70,735	67,305	839,113
4490 Asset Management Fee	20,876	20,871	19,703	20,290	20,400	20,267	19,419	19,126	19,578	20,678	21,534	19,260	242,003
4500 Replacement Reserves	132,558	134,063	128,233	121,903	130,729	125,406	119,891	118,685	118,488	124,265	126,281	117,130	1,497,632
4510 Roof Repairs	92,110	88,146	86,978	92,706	82,771	87,743	87,176	83,391	91,075	83,859	93,174	85,402	1,054,530
4520 Parking Lot Repairs	94,423	103,059	93,977	100,427	103,272	106,864	102,229	105,554	101,598	102,666	102,031	98,395	1,214,495
4530 Signage	98,166	91,615	102,818	99,772	99,294	99,703	102,556	98,796	90,850	90,906	92,868	101,890	1,169,235
4540 Tenant Improvements	107,481	116,922	105,438	106,412	115,704	103,686	106,766	111,793	108,739	107,183	107,830	115,578	1,313,532
4550 Leasing Commissions	32,271	30,613	30,851	29,382	33,275	30,471	31,749	32,362	33,014	29,657	28,982	32,204	374,832
4000 Gross Potential Rent	1,230,44	1,235,01	1,172,93	1,162,13	1,266,55	1,170,51	1,196,43	1,295,76	1,283,06	1,247,52	1,330,47	1,178,61	14,769,468
4010 Loss to Lease	827,600	764,216	816,413	765,897	752,298	773,568	757,332	790,033	818,147	844,944	847,382	806,018	9,563,847
4020 Vacancy Loss	955,088	1,048,35	992,937	1,013,60	1,000,15	1,065,54	1,074,63	1,087,79	1,059,81	1,076,35	962,066	1,049,75	12,386,112
4030 Concessions	801,289	766,444	768,730	809,797	862,389	790,717	777,662	840,187	769,533	805,570	800,151	868,299	9,660,768
4040 Bad Debt	478,468	494,291	521,069	515,782	482,455	496,985	477,214	515,782	534,465	533,116	511,986	495,577	6,057,190
4050 Late Fees	94,529	90,653	84,625	91,636	84,724	89,812	84,351	93,543	92,002	94,124	85,335	88,439	1,073,774
4060 Utility Reimbursements	122,625	121,744	114,572	128,958	127,518	113,080	118,116	121,252	117,561	116,305	120,126	122,306	1,444,162
4070 Parking Income	116,288	115,517	106,907	115,280	111,196	107,211	107,848	115,812	118,407	107,796	114,282	116,284	1,352,829
4080 Application Fees	780,903	822,895	845,411	765,725	846,954	764,977	771,998	794,652	804,953	806,211	769,899	822,533	9,597,111
4090 Pet Rent	448,819	478,945	462,982	463,053	436,129	430,810	455,343	474,407	483,798	424,854	434,172	467,767	5,461,080
4100 Laundry Income	285,338	264,414	264,193	263,163	264,424	279,293	285,383	255,783	290,486	293,789	270,330	285,759	3,302,354
4110 Cable/Internet Revenue	485,838	487,056	488,760	494,773	529,071	481,068	467,011	465,318	480,360	478,350	481,588	497,886	5,837,079
4120 CAM Reimbursements	181,003	189,933	195,110	185,215	200,843	184,572	184,088	198,375	196,640	203,678	180,002	193,774	2,293,234
4130 Tax Reimbursements	163,361	147,002	161,520	162,554	162,539	147,066	150,055	154,267	167,184	150,056	162,899	158,180	1,886,685
4140 Insurance Reimbursemen	69,576	67,675	73,777	75,690	77,229	67,342	69,681	76,034	67,687	73,086	74,333	76,742	868,853
4150 Percentage Rent	218,506	233,612	219,555	230,338	213,772	235,559	225,671	240,142	219,144	232,481	236,357	236,962	2,742,098
4160 Misc. Income	35,439	36,219	32,309	35,108	33,378	34,253	34,264	32,457	33,840	35,030	33,868	33,134	409,298
4170 Payroll - Management	146,314	134,635	153,346	151,389	134,219	139,483	145,214	149,404	149,752	148,901	149,450	133,576	1,735,683
4180 Payroll - Leasing	47,252	47,412	47,827	45,238	48,252	46,541	46,617	43,707	47,440	44,743	46,839	45,847	557,717
4190 Payroll - Maintenance	112,335	115,319	117,677	113,244	105,473	106,197	116,530	111,210	104,429	111,781	107,484	114,465	1,336,143
4200 Payroll Taxes & Benefits	132,663	130,862	128,466	135,560	128,115	127,951	136,845	135,384	129,962	130,885	120,779	123,277	1,560,749
4210 Repairs - Plumbing	29,485	31,001	29,033	29,187	30,502	30,796	31,544	29,829	28,567	30,572	28,115	27,988	356,621
4220 Repairs - HVAC	115,268	121,317	120,273	113,722	122,619	114,711	120,209	113,915	125,559	113,252	117,733	114,859	1,413,438
4230 Repairs - Electrical	114,256	122,388	130,480	118,458	124,696	114,587	123,433	118,505	114,055	125,697	121,597	116,488	1,444,640
4240 Repairs - Appliances	92,231	95,149	93,738	92,881	87,692	95,510	94,205	86,336	87,869	86,186	89,773	97,221	1,098,790
4250 Painting & Decorating	66,917	72,617	72,394	69,186	66,671	73,852	65,435	73,842	66,402	64,906	67,329	68,890	828,441

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Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $441,000, representing a 8.0% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. Patient parking and ADA-compliant access are provided at a ratio of 3 spaces per 1,000 square feet. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.11% reflects the in-place income and the stabilized occupancy assumption.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 9 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Effective gross income for the trailing period was $100,000, representing a 8.6% increase over the prior year. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 36 additional team members. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 20th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Patient parking and ADA-compliant access are provided at a ratio of 31 spaces per 1,000 square feet. Collections for the period were 94.0% of billed charges, with bad debt of 5.4% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 5 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Operating Performance

Effective gross income for the trailing period was $218,000, representing a 3.4% increase over the prior year. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The going-in capitalization rate of 7.14% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $378,000 or approximately 35.84 per square foot, with real estate taxes representing the largest line item. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 26th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. Collections for the period were 94.2% of billed charges, with bad debt of 3.1% of gross potential income. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 47 hours.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Collections for the period were 94.0% of billed charges, with bad debt of 5.0% of gross potential income. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 32 spaces per 1,000 square feet.

Operating Performance

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4290 Snow Removal	137,621	155,276	150,122	140,571	150,847	138,801	146,400	157,380	146,574	153,531	139,782	146,841	1,763,746
4300 Janitorial	41,009	36,536	40,491	40,534	38,442	41,394	40,397	38,288	40,995	40,977	41,066	40,386	480,512
4310 Pest Control	116,029	113,101	114,224	114,335	113,273	110,633	105,255	113,610	116,906	117,742	117,783	118,952	1,371,843
4320 Trash Removal	141,377	134,775	138,604	126,642	129,282	141,218	127,581	133,636	139,998	126,054	131,015	128,351	1,598,532
4330 Elevator Contract	60,598	68,511	64,806	60,235	60,618	60,527	60,630	65,186	61,096	67,727	65,340	61,577	756,851
4340 Fire & Life Safety	18,046	18,712	18,197	17,888	18,313	17,821	16,886	18,631	17,449	18,102	16,645	18,208	214,898
4350 Security	151,099	145,619	146,322	142,618	142,834	145,238	140,060	143,417	143,905	136,344	138,092	152,842	1,728,389
4360 Electricity - Common	91,043	91,039	83,630	79,319	80,424	89,555	82,946	87,643	79,202	86,079	80,861	86,180	1,017,921
4370 Gas - Common	132,009	142,585	136,106	132,020	146,400	143,246	148,572	147,497	139,953	149,542	133,576	143,263	1,694,768
4380 Water & Sewer	57,380	54,077	52,339	56,062	51,261	54,515	51,710	53,091	56,825	52,380	51,440	51,356	642,436
4390 Telephone/Internet	112,711	118,690	121,018	127,234	117,614	119,670	123,637	117,358	122,552	118,492	127,697	113,246	1,439,919
4400 Advertising	32,722	33,907	33,438	32,535	34,565	35,462	36,548	32,353	34,779	34,003	35,295	36,169	411,778
4410 Resident Events	48,463	51,948	51,533	50,379	48,670	52,703	50,965	52,820	48,262	53,216	47,679	48,630	605,267
4420 Office Supplies	18,980	20,495	20,122	20,119	18,481	19,835	20,076	20,407	19,597	19,540	19,417	19,495	236,566
4430 Legal & Professional	112,252	104,627	112,754	115,104	110,386	117,952	118,276	107,699	117,547	116,534	116,084	114,087	1,363,302
4440 Accounting & Audit	82,010	83,538	87,338	88,532	84,527	82,898	83,964	87,237	89,065	88,276	85,126	90,353	1,032,864
4450 Licenses & Permits	133,526	142,401	142,732	138,836	130,445	143,920	134,905	147,021	130,488	133,668	129,309	132,313	1,639,565
4460 Management Fee	122,458	121,681	126,829	124,423	128,885	126,059	119,021	131,047	133,939	133,046	123,253	135,101	1,525,742
4470 Property Insurance	38,664	42,598	42,461	40,781	39,048	42,162	40,140	39,228	44,042	39,368	39,570	42,531	490,592
4480 Real Estate Taxes	129,262	129,962	119,958	127,399	130,590	120,549	122,258	119,188	123,574	129,204	130,787	124,991	1,507,723
4490 Asset Management Fee	55,324	58,202	58,399	58,193	61,103	62,535	55,920	58,060	55,587	58,646	62,126	57,897	701,992
4500 Replacement Reserves	65,369	60,809	63,924	62,692	67,798	66,007	62,705	68,073	64,346	64,827	61,301	65,295	773,146
4510 Roof Repairs	84,105	81,994	88,540	84,330	79,302	83,450	81,087	85,142	87,933	88,107	88,265	88,258	1,020,514
4520 Parking Lot Repairs	138,833	136,047	130,649	133,215	124,321	128,062	123,429	125,451	133,870	125,452	140,898	141,317	1,581,544
4530 Signage	14,893	15,624	15,552	15,318	15,982	14,786	14,468	15,307	15,544	15,201	15,696	15,647	184,017
4540 Tenant Improvements	88,842	80,914	87,307	86,027	79,150	79,025	85,662	89,665	82,081	83,629	84,933	82,311	1,009,547
4550 Leasing Commissions	145,881	142,149	150,280	151,359	138,669	155,037	152,279	147,037	154,446	140,581	152,678	141,857	1,772,253
4000 Gross Potential Rent	1,267,81	1,233,92	1,265,34	1,329,40	1,192,72	1,245,23	1,171,71	1,325,08	1,192,34	1,211,53	1,217,76	1,288,57	14,941,450
4010 Loss to Lease	356,665	372,728	349,357	345,258	341,256	380,201	378,017	366,041	383,280	386,010	385,615	367,187	4,411,615
4020 Vacancy Loss	374,036	370,372	375,824	370,651	401,181	376,467	395,106	405,239	418,243	410,509	394,950	414,174	4,706,752
4030 Concessions	121,978	132,599	124,889	133,286	139,633	128,293	128,668	133,340	132,569	137,542	136,862	127,588	1,577,246
4040 Bad Debt	640,295	638,627	644,066	573,056	613,856	612,287	620,656	569,015	630,162	616,121	580,700	602,973	7,341,815
4050 Late Fees	961,864	941,841	1,001,58	922,709	987,347	975,552	916,332	911,834	972,969	975,945	957,275	999,719	11,524,968
4060 Utility Reimbursements	196,608	216,993	215,396	203,353	207,240	217,608	215,363	214,345	212,531	218,400	207,545	201,735	2,527,116
4070 Parking Income	287,932	286,981	281,554	312,514	297,372	297,241	292,765	296,954	300,423	293,584	312,813	304,929	3,565,063
4080 Application Fees	528,549	519,002	549,864	519,518	578,106	586,602	562,581	587,930	530,870	550,825	562,696	511,820	6,588,363
4090 Pet Rent	730,234	780,890	800,955	787,996	725,461	736,957	800,941	718,321	731,773	806,454	723,052	707,963	9,050,998
4100 Laundry Income	444,533	436,386	450,598	449,855	465,744	482,006	448,273	455,782	474,017	447,468	434,862	446,847	5,436,372
4110 Cable/Internet Revenue	30,613	31,031	30,467	29,844	29,042	31,156	28,605	28,736	29,102	27,686	30,345	30,610	357,236
4120 CAM Reimbursements	176,554	183,455	171,706	184,580	186,010	192,800	196,291	188,875	186,892	179,578	188,778	180,652	2,216,170
4130 Tax Reimbursements	1,075,18	1,107,82	1,047,02	1,003,18	1,075,25	1,021,74	1,108,31	1,077,25	1,095,92	1,061,82	1,087,11	1,107,84	12,868,504
4140 Insurance Reimbursemen	856,059	775,322	796,276	840,913	834,145	793,689	833,968	768,436	765,785	784,827	766,852	821,162	9,637,435
4150 Percentage Rent	1,142,77	1,019,48	1,096,08	1,050,46	1,115,02	1,097,20	1,128,00	1,098,28	1,054,14	1,059,58	1,063,60	1,035,91	12,960,566
4160 Misc. Income	478,347	444,375	471,789	479,215	471,992	464,335	497,944	455,922	482,753	460,645	494,756	490,347	5,692,420
4170 Payroll - Management	20,265	18,684	18,731	19,545	20,863	19,504	20,010	18,972	20,622	20,973	21,008	21,128	240,306
4180 Payroll - Leasing	119,715	119,911	112,894	111,765	114,715	114,783	122,356	117,360	116,934	119,095	117,402	116,706	1,403,637
4190 Payroll - Maintenance	88,666	84,381	81,824	81,020	87,332	77,869	78,159	87,743	78,115	78,979	88,325	86,233	998,645

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Summary and Notes

Operating Performance

Effective gross income for the trailing period was $454,000, representing a 7.1% increase over the prior year. The going-in capitalization rate of 7.13% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Operating expenses totaled $94,000 or approximately 43.07 per square foot, with real estate taxes representing the largest line item.

Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 21 spaces per 1,000 square feet. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $456,000, representing a 8.8% increase over the prior year.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 92.7% of billed charges, with bad debt of 5.2% of gross potential income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Patient parking and ADA-compliant access are provided at a ratio of 40 spaces per 1,000 square feet.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 28 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 35 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

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